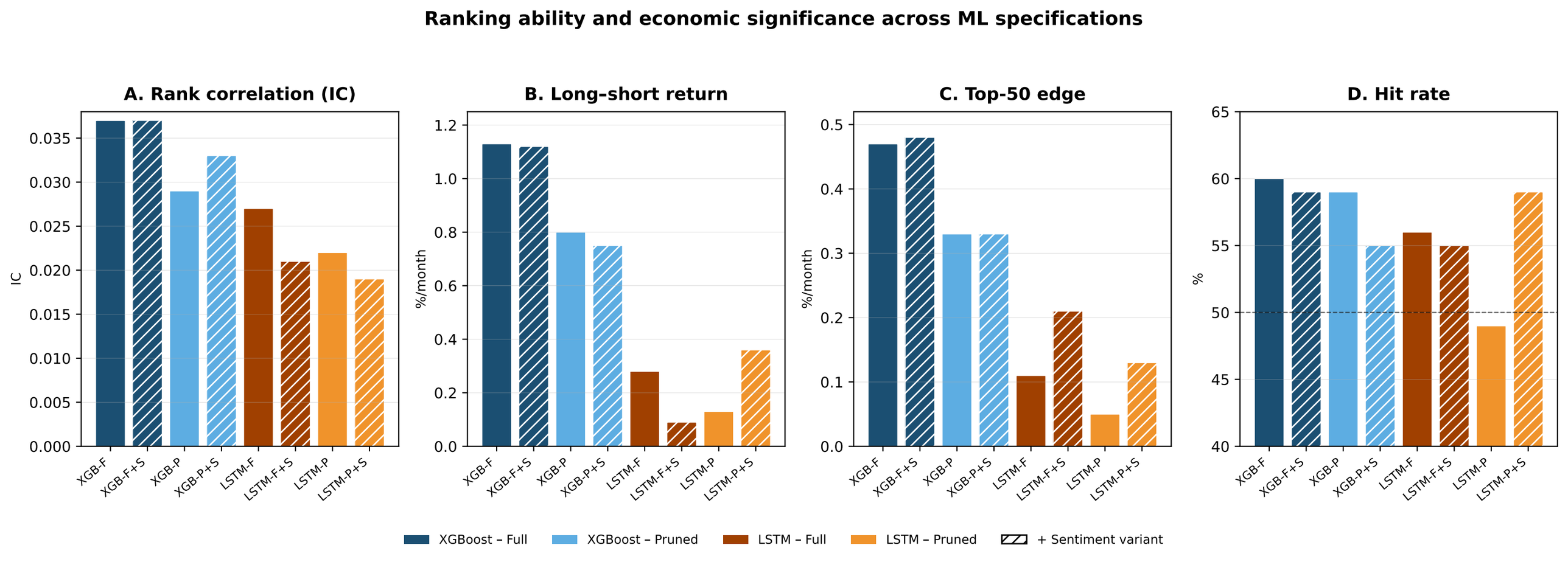
Ranking ability and economic significance across ML specifications
A. Rank correlation (IC)
IC
0.035
0.030
0.025
0.020
0.015
0.010
0.005
0.000
B. Long–short return
%/month
1.2
1.0
0.8
0.6
0.4
0.2
0.0
C. Top-50 edge
%/month
0.5
0.4
0.3
0.2
0.1
0.0
D. Hit rate
%
65
60
55
50
45
40
XGB-F
XGB-F+S
XGB-P
XGB-P+S
LSTM-F
LSTM-F+S
LSTM-P
LSTM-P+S
XGBoost – Full
XGBoost – Pruned
LSTM – Full
LSTM – Pruned
+ Sentiment variant